

There are thus two types of reserves and surplus



Reserves and surplus with purpose



Reserves and surplus without purpose

Reserves and Surplus can be broadly categorized into two segments. One that have a clear purpose or reason behind it and second is the general capital that the company has that they can use as requirement arises. This we will categorize as Reserves and Surplus without Purpose.

As seen from the example,

Reserves without purpose in 2021 =

$$\text{Rs.1335 Cr} + \text{Rs.4135 Cr} + \text{Rs.26 Cr} + \text{Rs.0 Cr} \\ = \text{Rs. 5496 Cr}$$

Reserves without purpose mean these can be used in a manner that the management or company wants. Reserves that are set aside on purpose have to be used for that specific reason itself.

Reserves on purpose =

$$\text{Rs.0.50 Cr} + \text{Rs.0.95 Cr} + \text{Rs.0.26 Cr} + \text{Rs.0.15 Cr} + \\ \text{Rs.25.42 Cr} + \text{Rs.18.32 Cr} \\ = \text{Rs. 46 Cr}$$

(reserves without purpose deducted from the total reserves)